

Sector Underwriting Note: Textiles

Ashva Capital Internal Credit Policy

Credit Policy Document: 001

Sector: Textiles SME Lending

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Sector Introduction

The Textiles sector involves the production, manufacturing, and distribution of various types of textiles, including fabrics, yarns, and other textile products. SMEs in this sector typically require working capital financing to manage fluctuations in raw material costs, production levels, and inventory levels.

Typical Working Capital Cycle

The typical working capital cycle for Textiles SMEs is 120-150 days, depending on factors such as the type of textile products, production volumes, and sales channels.

DSCR Floor (Textiles)

The required DSCR floor for Textiles SME lending is 1.50x, which is higher than the standard 1.25x DSCR floor applicable to other sectors. This reflects the sector's typical higher working capital requirements and lower profit margins.

Seasonality Adjustments

To account for seasonal fluctuations in demand and production levels, the following seasonality adjustments will be applied:

- Winter season (December to February): +10% adjustment to DSCR
- Summer season (June to August): -5% adjustment to DSCR

Common Causes of Distress

The two most common causes of distress in the Textiles sector are:

1. Supply chain disruptions, particularly with regard to raw material sourcing and transportation.
2. Fluctuations in global demand and pricing, which can impact cash flows and profitability.

Acceptable Collateral Types

The following collateral types are acceptable for Textiles SME lending:

- Inventory of finished goods and raw materials
- Plant and machinery
- Land and property
- Intellectual property (e.g., patents, trademarks)

Maximum Exposure

The maximum exposure that Ashva Capital will hold in the Textiles sector as a percentage of book is 8%.

Thresholds

The following numeric thresholds apply to Textiles SME lending:

1. Minimum annual sales revenue: \$500,000
2. Maximum debt-to-equity ratio: 3.0x
3. Minimum asset turnover ratio: 1.8x
4. Maximum working capital requirement (as a percentage of annual sales revenue): 20%

These thresholds will be reviewed and revised as necessary to ensure compliance with Ashva Capital's risk management policies and procedures.

Named Exceptions

The following named exceptions apply to Textiles SME lending:

- SMEs that have a proven track record of stable cash flows and profitability, despite industry fluctuations.
- SMEs that have implemented innovative production methods or business models that reduce their reliance on raw materials or mitigate the impact of supply chain disruptions.

Approval Requirements

All Textiles SME loans must be approved by the Credit Committee, which will review the loan application, credit report, and sector-specific data to ensure compliance with these credit policy guidelines.